

tics was the offering of convertible issues with an original market value greatly in excess of par. This is illustrated by Atchison, Topeka and Santa Fe Railway Company Convertible 4<sup>1</sup>/<sub>2</sub>s, due 1948, and by American Telephone and Telegraph Company Convertible 4<sup>1</sup>/<sub>2</sub>s, due 1939. Initial trading in the former on the New York Curb Market (on a “when issued” basis) in November 1928 was around 125, and initial trading in the latter on the New York Stock Exchange (on a “when issued” basis) on May 1, 1929, was at 142. Obviously investment in the bonds at these levels represented primarily a commitment in the common stock, since they were immediately subject to the danger of a substantial loss of principal value if the stock declined. Furthermore the income return was entirely too low to come under our definition of investment. Although it may be thought that the stockholders were acquiring a normal investment through the exercise of their subscription right to purchase the issues at par, the essential nature of their commitment was determined by the initial market value of the security to which they were subscribing. For this reason we think such financing should be condemned, because under the guise of an attractive investment it created a basically speculative form of security.

**A Technical Feature of Some Convertible Issues.** A technical feature of the American Telephone and Telegraph convertible issue deserves mention. The bonds were made convertible at 180, but, instead of presenting \$180 of bonds to obtain a share of stock, the holder might present \$100 of bonds and \$80 in cash. The effect of such an option is to make the bond more valuable whenever the stock sells above 180 (*i.e.*, whenever the conversion value of the bond exceeds 100). This is illustrated as follows:

If the stock sells at 360, a straight conversion basis of 180 would make the bond worth 200. But by the provision accepting \$80 per share in cash, the value of the bond becomes  $360 - 80 = 280$ .

This arrangement may be characterized as a combination of a conversion privilege at 180 with a stock purchase right at 100.

**Delayed Conversion Privilege.** The privilege of converting is sometimes not operative immediately upon issuance of the obligation.

*Examples:* This was true, for example, of Brooklyn Union Gas Company Convertible 5<sup>1</sup>/<sub>2</sub>s, discussed in Appendix Note 38. Although they were issued in December 1925, the right to convert did not accrue